

should also move away from fees based on AUM, but I do not recommend a large proportion of incentive fees, as I explain below.

From the standpoint of the financial advisor, a disadvantage of fees based on AUM is that it subjects a lot of the advisor's income to the vagaries of the market. In the parlance of factor theory, the factor choice should be the decision of the client, not the financial advisor. Yet the financial advisor is being paid as a function of factor risk not under her control.

Percentage of Net Worth and Income: This is like the fee based on AUM, except it allows the financial advisor to levy a proportional fee on (usually) a much bigger number. The advantage for the financial advisor is that it enables him to charge fees to clients that would not normally satisfy minimum AUM levels. Thus it opens up new clients to serve but with the same disadvantage for the clients as the fee based on AUM. Why would the investor want to pay for time not spent with you?

Flat Fee: Agency theory says that the flat fee should be set high enough to attract the best financial advisors. This is an attractive option for the client. The disadvantage is that there is no incentive fee to induce effort. That is, the client might be able to attract the best financial advisor. But with no incentive fee, the world's best financial advisor may be playing golf instead of working for you. As long as the flat fee is high enough to satisfy the participation constraint, however, this may be optimal, as I explain below.

Hourly Fee: This is rare, but it does remunerate on actual effort put in by the agent. This makes financial advisor compensation more like a lawyer's. A typical "low-cost" hourly fee is \$300.²⁰

Pay on Outperformance Relative to a Benchmark: This is also rare but gaining traction. This is exactly the incentive fee advocated by agency theory. It is subject to the Irrelevance Result. You need the right benchmark, and the benchmark itself is not sufficient with a linear contract. Thus all the same conclusions of Sections 3.3 and 3.4 apply. I recommend, though, that this remain a small part of advisor compensation for the following reasons.

Financial advisors perform a large variety of tasks, including often acting as principals themselves in a further delegated principal-agent asset management problem. In addition, they serve as therapists, legal and tax advisors, family counselors, and mediators. Many financial planners will argue that these are in fact more important than actually managing the client's portfolio. (My arguments in chapter 4 back this up. Even the act of rebalancing is as much a psychological one as an economic decision.)

The multidimensional role of financial advisors, which is not shared by most delegated fund managers in institutional contexts (including hedge fund and private equity managers, which I discuss in chapters 17 and 18, respectively),

²⁰ Pollock, M. A., "How to Find Low-Cost Investing Help," *Wall Street Journal*, June 4, 2012.